INDMONEY GROWTH · DISCOVERY ENGINE

# Why first-time SIPs lapse by month 12

A public-evidence engine for finding the moments that break the habit — and the interventions that keep it alive.

8,115 public documents · 1,726 strict SIP/MF candidates · 1,726 deep-coded · 334 grounded signals

October 2026

EXECUTIVE SUMMARY

# The retention problem is a sequence of moments, not a single reason

- The strongest lapse-associated theme is cash-flow shocks and competing commitments: 14 signals, 100% lapse rate among resolved outcomes.
- System friction is the most fixable: failed mandates/debits and cancellation mazes create lapses the investor did not choose.
- Market noise is high-reach but not uniformly harmful: many investors continue through drawdowns when they have a goal and a habit.
- Three plays: mandate rescue, pause-don't-stop, and a cancellation path that works. All are workflow and clarity, not fund recommendations.
- Measure one thing: at least one successful instalment in the last 30 days, 12 months after the first SIP.

Directional public evidence; associations are not causal.

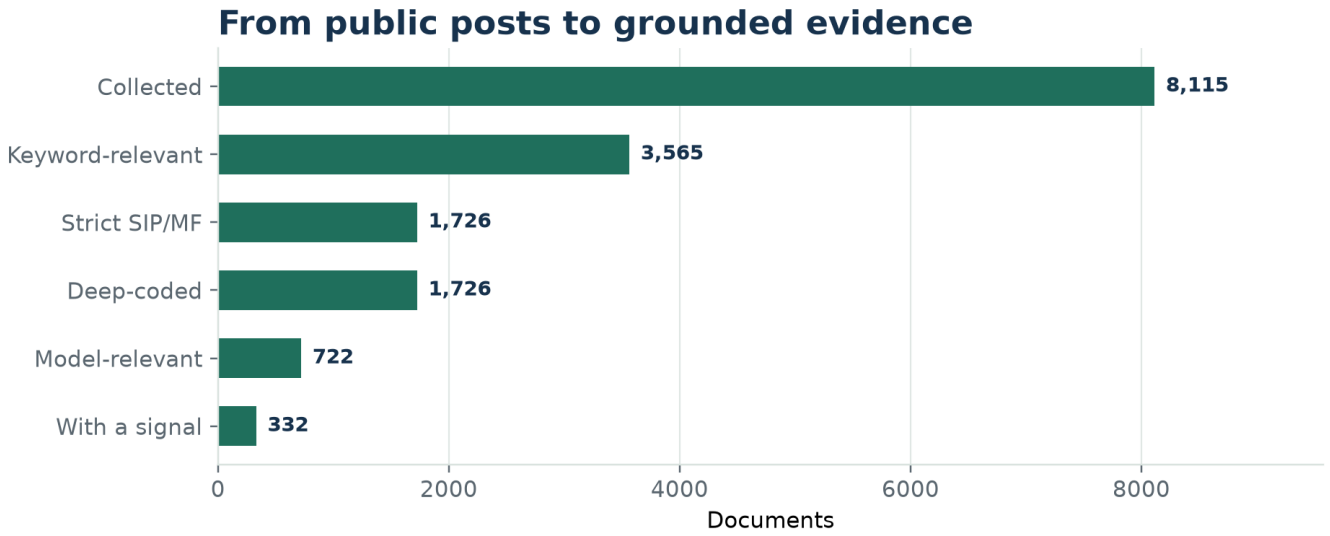
THE BRIEF

# Nine discovery questions, nine evidence-backed answers

| Question | What the evidence says |
|---|---|
| 1. Who starts? | Salaried first-time investors, often 20s–30s, starting small. Segment evidence is sparse; treat as directional. |
| 2. What do they expect? | Steady, FD-like, or market-beating returns. The first flat period is an expectation shock. |
| 3. What happens in the first 30 days? | KYC, mandate, first debit, and NAV/date confusion. Confusion is the most common coded emotion. |
| 4. What triggers a pause or stop? | Cash-flow shocks, job changes, competing goals, drawdowns, and app/cancellation friction. |
| 5. How does volatility affect them? | It raises checking and anxiety for some; others continue through drawdowns with a goal and a habit. |
| 6. What role do cash-flow shocks play? | Cash-flow shock: 14 signals, 100% lapse among resolved outcomes. The SIP was affordable last month, not this month. |
| 7. What role do platforms play? | Failed mandates, debit issues, cancellation mazes, and support gaps create system-forced lapses. |
| 8. Which segments are at risk? | Directionally, early-stage and cash-flow-constrained investors. Segment cues are sparse; app reviews overrepresent friction. |
| 9. What would make them stay? | Pause instead of stop, mandate rescue, goal progress, human support, and expectation-setting. |

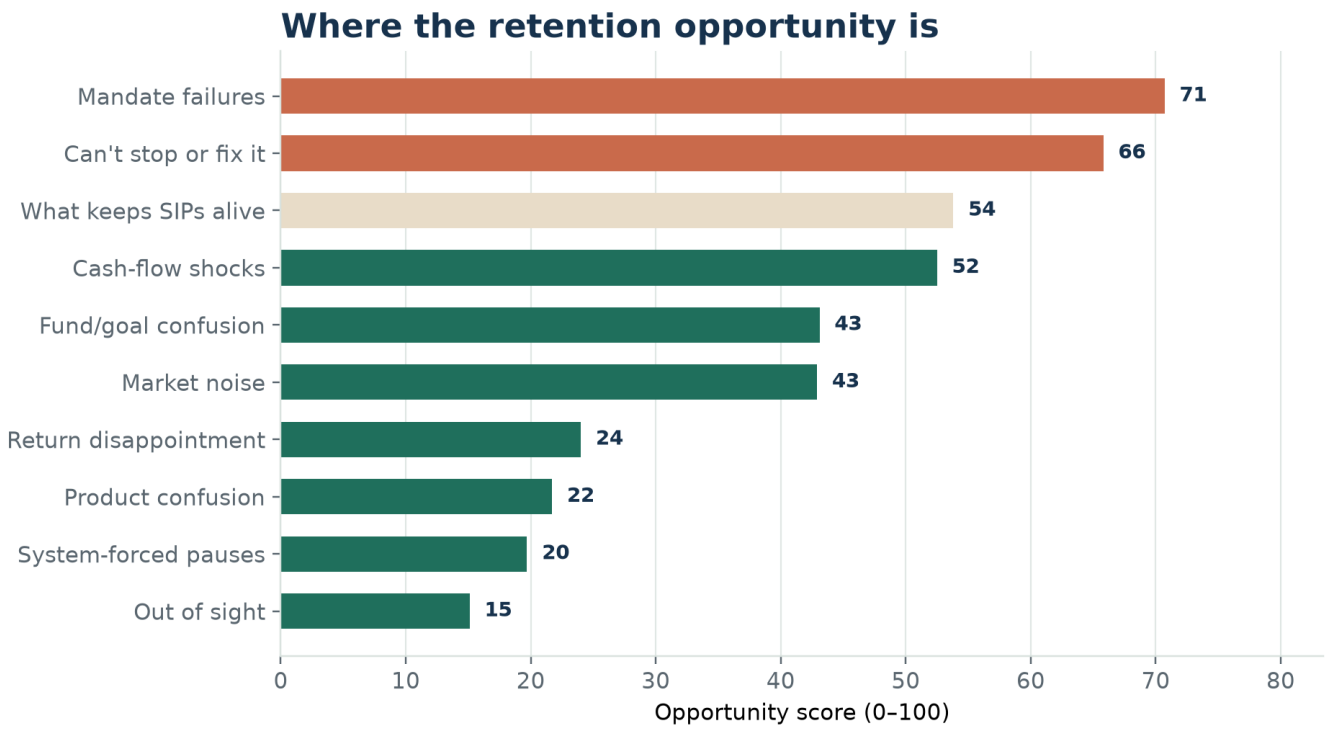
METHOD

# From 8,000+ public posts to a grounded evidence base




- 8,115 documents from six sources: Play Store, App Store, Reddit, YouTube, ValuePickr, TradingQ&A.
- 1,726 strict SIP/mutual-fund candidates; 1,726 deep-coded with a free-tier LLM.
- Every behavioural quote is verified against the source; unsupported codes are dropped by deterministic grounding.
- Includes competitor app reviews to learn category-wide friction; INDmoney-specific views are filterable in the dashboard.
- Counts, prevalence, statistics, and opportunity scores are computed in Python/SQL, not by the model.

# Where the retention opportunity is




- Top problem themes: Failed debits and mandate breakage, Can't stop or fix it, Cash-flow shocks and competing commitments.
- The protective theme — what keeps SIPs alive — is shown separately in sand.
- Opportunity score combines reach, lapse lift, evidence strength, solvability, and effort.
- Themes with unresolved outcomes carry a friction prior and are marked n/a in the table.

# Failed debits and mandate breakage

| 59 | 59 | n/a | 70.7 |
|---|---|---|---|
| SIGNALS | DOCUMENTS | LAPSE RATE | OPPORTUNITY |

- For many investors, the SIP did not fail because they gave up; the debit did.
- Signals include UPI Autopay confusion, eNach failures, bank blocks, and silent missed instalments.
- The fix is pre-debit visibility and a repair path, not another reminder to invest.

*“When I opened my MFU account and tried to use the ePayEezz mandate, following massage is showing- " Consequent to communication received from NPCI asking us to stop the e-NACH through e-sign process at MFU, we are constrained to discontinue ePayEezz...”*

reddit · outcome=unknown · stage=m0_setup

*“I used to do SIP in college with my internship money. 15k stipend, 4k SIP. 1 month, the stipend got delayed by 2 days. Guess what. I didn't even have money to eat a sandwich for 2 days. The SIP autodeducted the money. Worse yet? It wasn't enough to cover...”*

reddit · outcome=unknown · stage=unknown

Fix: A pre-debit health check that flags a weak mandate, low balance, or bank issue. A three-day pre-debit alert with a one-tap repair or top-up path.

# Cash-flow shocks and competing commitments

| 14 | 14 | 100% | 52.5 |
|---|---|---|---|
| SIGNALS | DOCUMENTS | LAPSE RATE | OPPORTUNITY |

- The SIP was affordable last month, not this month.
- Job changes, salary delays, medical expenses, house/wedding goals, and income volatility.
- A pause or step-down preserves the habit; a permanent stop loses the investor.

*“I have reduced my MF SIP to 10k per month so that I can save on the house fund.”*
reddit · outcome=reduced · stage=unknown

*“Whenever I saw some expenses coming up, I would stop my investments for a month or two and then resume.”*
reddit · outcome=unknown · stage=unknown

Fix: A 1-3 month pause with automatic resume, instead of a permanent stop. A step-down amount that preserves the habit through a temporary squeeze.

THEME 03 · CONTROL

# Can't stop or fix it

| 38 | 38 | 89% | 65.8 |
|---|---|---|---|
| SIGNALS | DOCUMENTS | LAPSE RATE | OPPORTUNITY |

- Investors try to cancel, pause, or repair a SIP and the flow does not work.
- Signals include 'still active', 'money got deducted', missing support, and unclear effective dates.
- A pause option beside cancel and a status tracker turn a dead end into a save.

*“I requested to cancel my monthly SIPs around Jan 25, but the Feb 1 SIP was still active and the money got deducted.”*
reddit · outcome=unknown · stage=unknown

*“I want to temporarily pause this month's SIP deduction. I cannot find any pause option on the website. Can anyone help me how to exactly pause (not permanently cancel/delete) my SIP?”*
reddit · outcome=paused · stage=unknown

Fix: A pause option beside cancel, with a clear effective date and one-tap resume. A cancellation status tracker: requested, effective, refunded, closed.

THEME 04 · EXPECTATIONS

# Market noise and loss aversion

| 31 | 31 | 55% | 42.9 |
|---|---|---|---|
| SIGNALS | DOCUMENTS | LAPSE RATE | OPPORTUNITY |

- A red portfolio is not automatically a lapse; the meaning the investor assigns to it matters.
- Some stop; others continue because they have a goal, a habit, or a human to talk to.
- Show goal progress and the trade-off, not fear or urgency.

*“Now at the 3 year mark, my overall portfolio is 5% XIRR, and 3 of the above funds have changed rating from 5->3/2. I wanted to know a few things: If I should stop SIP in the existing schemes and start the SIP in different schemes”*

reddit · outcome=unknown · stage=m9_late

*“Never stopped my SIP even for one month. That's it. That's literally it. I just invested straight through the long flat period of 2018-19 and through COVID.”*

reddit · outcome=continues · stage=unknown

Fix: A drawdown explainer that shows goal progress, not only the return number. A 'what happens if you stop' calculator, framed as a trade-off, not a threat.

# Sometimes the system pauses the SIP — and the investor never finds out why

- Forced pauses: AMC, platform, or regulator restrictions; the investor did not choose to stop.
- Product confusion: direct vs regular, NAV, fund category, and 'which fund is actually debited?'
- Both are clarity problems: explain the reason, the duration, the next step, and the auto-resume.
- No specific fund recommendations; compare categories and mechanics, not returns.

Forced pause signals: 7; product confusion: 1. Small n, high fixability.

THEME 06 · PROTECTION

# What keeps SIPs alive

| 49 | 49 | 0% | 53.8 |
|---|---|---|---|
| SIGNALS | DOCUMENTS | LAPSE RATE | OPPORTUNITY |

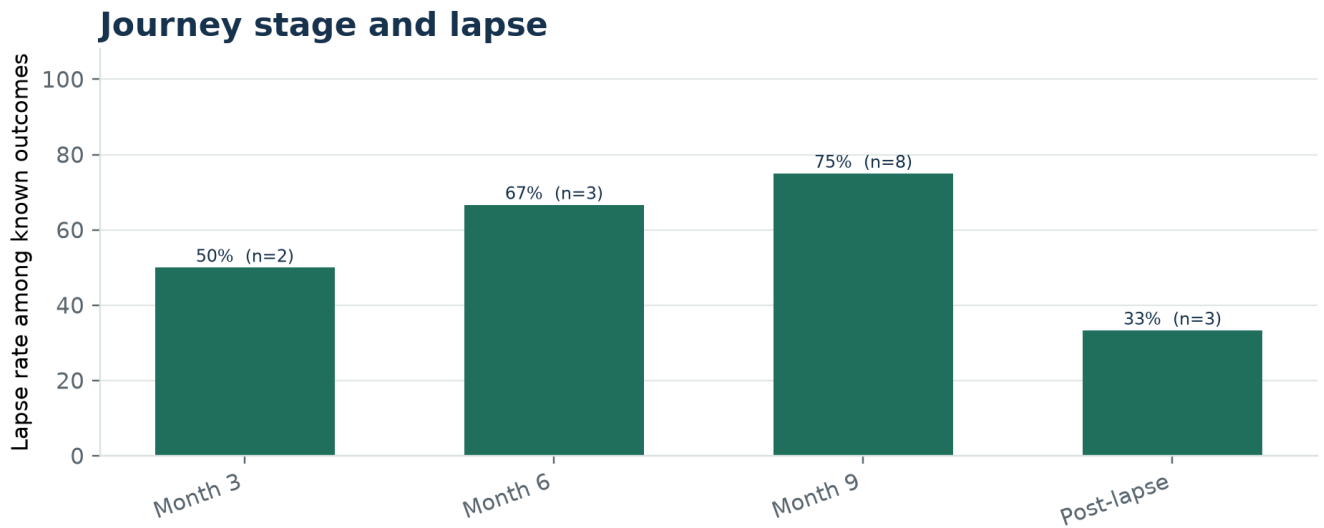
- Continuation is not passive. It is a goal, a habit, a support system, and a reason to stay.
- Investors describe continuing through COVID, flat periods, and job changes.
- Protect these moments: goal progress, streaks, community stories, and human encouragement.

*“Never stopped my SIP even for one month. That's it. That's literally it. I just invested straight through the long flat period of 2018-19 and through COVID.”*
reddit · outcome=continues · stage=unknown

*“I will keep my SIPs running. My monthly investment is around 1% of my total portfolio value, so I reckon that stopping a SIP and waiting for a correction is actually not worth the effort”*
reddit · outcome=continues · stage=unknown

Fix: Celebrate goal progress and streak milestones without FOMO or urgency. A 'you stayed invested through...' recap that reinforces the identity, not the return.

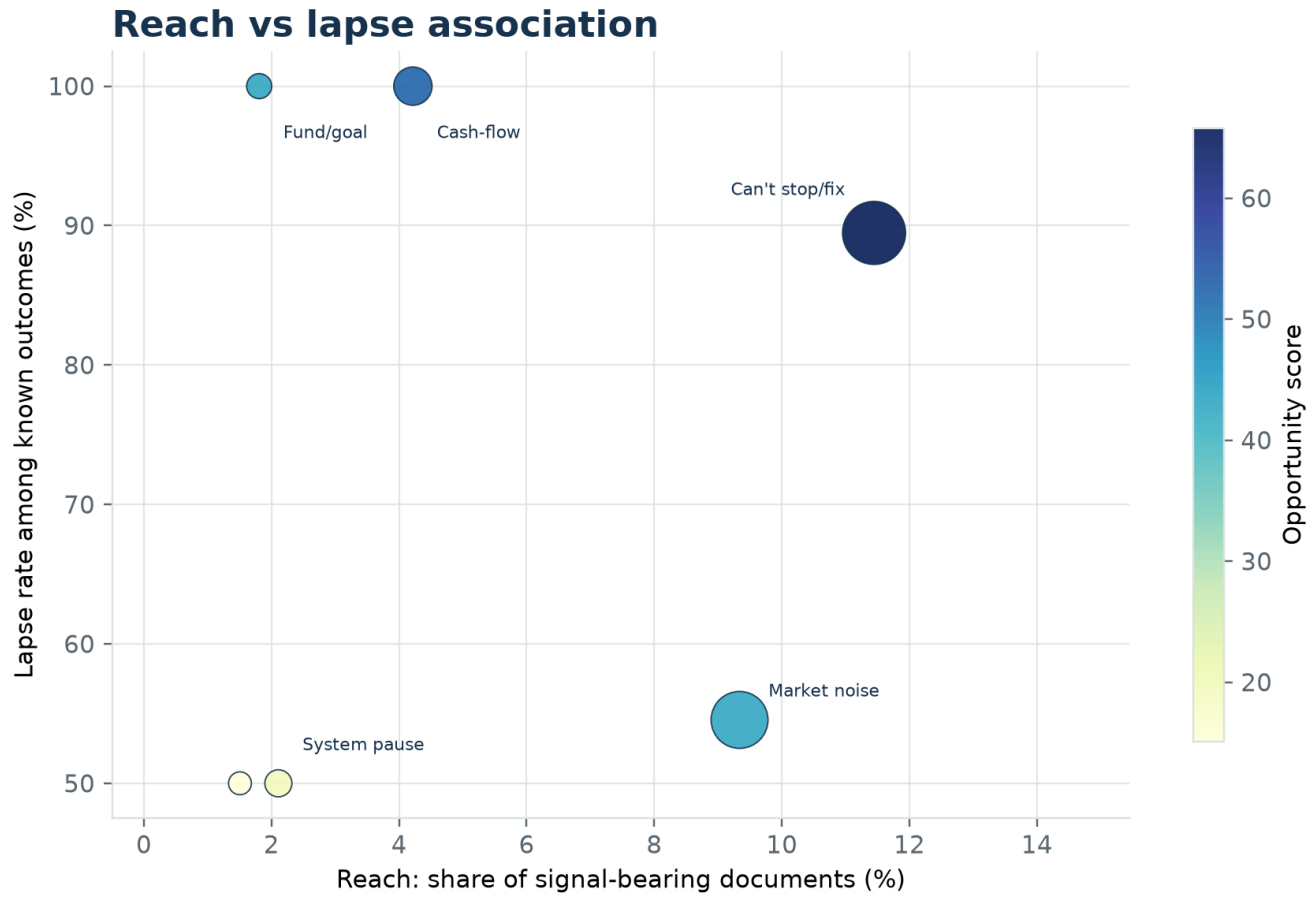
# Stage tells us where the conversation is, not who survives




n = signals with a resolved outcome. Stage is where the post is set, not a cohort survival curve.

- Setup posts cluster around KYC, mandate, first debit, and first statement; most are questions, not resolved stops.
- Later-stage posts include more resolved decisions about returns, goals, and 'is this still worth it?'
- Stage is the point referenced in the post, not a cohort survival curve; do not read 0% at setup as safety.
- Segment cues are sparse and self-reported; use them for hypotheses, not sizing. Triangulate sources.

# Reach and lapse association point to different plays




Themes without a resolved outcome are scored in the table but not plotted here.

- Failed debits and mandate breakage: 18% reach, n/a lapse, score 71.
- Can't stop or fix it: 11% reach, 89% lapse, score 66.
- Cash-flow shocks and competing commitments: 4% reach, 100% lapse, score 52.
- Which fund, which goal?: 2% reach, 100% lapse, score 43.
- Unresolved themes carry a friction prior; the score is a prioritisation heuristic, not a causal effect.

RETENTION PORTFOLIO

# Three horizons, nine interventions, zero fear-based nudges

## 0–30 days

- Mandate health check before the first debit.
- 3-day pre-debit alert with one-tap repair.
- First-statement explainer: XIRR, absolute return, and market noise.

## 30–90 days

- Pause 1–3 months with auto-resume, beside cancel.
- Step-down amount and salary-cycle alignment.
- Goal tagging and a plain-language 'what am I invested in' view.

## 90–365 days

- Drawdown explainer framed as goal progress.
- Two-missed-debit re-engagement with a human fallback.
- Annual goal review and community stories, not FOMO.

MEASUREMENT

# Measure the 12-month habit, not the download

| Metric | Definition | Cadence |
|---|---|---|
| Primary: 12-month retention | At least one successful instalment in the last 30 days, 12 months after the first SIP. | Monthly cohort |
| Mandate recovery | Share of failed/at-risk mandates repaired before the next debit date. | Weekly |
| Pause-to-resume | Share of paused SIPs that resume within 90 days. | Monthly |
| Cancellation save | Share of cancellation intents that choose pause, step-down, or repair. | Weekly |
| Support resolution | Median time to resolve a SIP/mandate issue; share resolved in one touch. | Weekly |
| Guardrails | Complaints, opt-outs, support load, mis-selling risk; no fear/FOMO/urgency copy. | Continuous |

VALIDATION

# What we trust, and what we are still testing

## Quote verification

Every behavioural quote must be an exact substring. Fabricated or over-long quotes are rejected.

## Grounding

Deterministic rules check first-person actions, negations, attempts, payment stops, temporary pauses, and segment evidence.

## Gold set + kappa

200-item evaluation set; second model on 100 items (all 80 resolved outcomes + relevance controls). relevance κ=0.81, outcome κ=0.94, theme κ=0.60. Kappa is agreement, not truth.

## Red team

15/15 red-team tests pass, including an end-to-end prompt-injection call. Known limitations remain.

LIMITATIONS

# What this evidence can and cannot tell us

- Public posts are self-selected; people with problems are more likely to post.
- Self-reported outcomes are not the 12-month product metric.
- Theme-lapse associations are correlational, not causal.
- App reviews are short and often lack context; narrative sources carry more explanatory weight.
- Hinglish and Indic-language coverage is limited; segment cues are sparse.
- The corpus spans 2014–2026; platform and market conditions change over time.

RECOMMENDATION

# Start with the two plays that remove a lapse the investor did not choose

- Pilot 1: mandate rescue. Pre-debit health check, 3-day repair window, auto-retry, and a clear reason.
- Pilot 2: pause-don't-stop. A 1–3 month pause with auto-resume, step-down, and salary-cycle alignment.
- Instrument the 12-month metric and the pause-to-resume bridge before scaling.
- Human-adjudicate the 30-item review queue, then expand to the full 200 before sizing; keep red team in CI.
- Expand the narrative corpus (Reddit, forums, YouTube) before sizing segments.

No specific funds or stocks. No fear, FOMO, or urgency-based nudges.

APPENDIX

# Sources, codebook, and reproduction

- Sources: Play Store, App Store, Reddit, YouTube, ValuePickr, TradingQ&A.
- Codebook v0.2: triggers, behaviours, emotions, expectations, help-seeking, outcomes, segments.
- Pipeline: collect → normalize → strict filter → LLM extract → quote verify → ground → quantify → validate.
- Reproduce: collect_sample.py, extract_signals.py, analyze.py, export_evidence_log.py.
- No internal analytics, CRM records, or primary interviews. Public data only.

| Source | Signals | Lapse rate |
|---|---|---|
| reddit | 122 | 81% |
| play_store:Coin by Zerodha | 48 | n/a |
| app_store:Coin by Zerodha | 35 | 0% |
| play_store:Kuvera | 30 | 38% |
| play_store:ET Money | 24 | 100% |
| app_store:ET Money | 19 | 100% |
| app_store:Paytm Money | 15 | n/a |
| play_store:Paytm Money | 12 | n/a |